



STUDY

UK Quick-Commerce Grocery: Survivors and Profit Reality

In-depth analysis of the UK quick-commerce grocery market, focusing on sustainability and profitability post-pure-play operator collapse.

STUDY REPORT

UK Quick-Commerce Grocery: Survivors and Profit Reality

1	Market Overview and Structural Reset	4
2	The Collapse of Pure-Play Dark-Store Operators	8
3	Tesco Whoosh — The Scale Play	12
4	Sainsbury's Chop Chop and Ecosystem Integration	16
5	Ocado Retail — Technology-Led Recovery	20
6	Delivery Platform Partnerships: Co-op, Morrisons, and the Aggregator Model	24
7	The Economics of Quick Commerce: Why Most Models Still Lose Money	28
8	Competitive Landscape and Market Share	32
9	Consumer Behaviour and Demand Drivers	37
10	Outlook and Strategic Implications	41
11	References and Citations	46

• Executive Summary

Finding 1 — Market maturing into integrated growth channel

UK quick commerce is shifting from venture-capital-led expansion to a more sustainable model embedded within traditional grocery operations. The market is forecast to reach £5.5 billion by 2031 and is becoming a meaningful part of online grocery, with usage moving from emergency purchases toward more routine shopping missions.

Finding 2 — Standalone dark stores proved structurally uneconomic

Pure-play dark store models failed to achieve viability because of high operating costs, fragmented inventories, and the contradictions of last-mile delivery economics. This inflection point drove exits by Getir and Gorillas, while players such as Gopuff and Zapp pivoted toward hybrid models focused on niches or high-density markets.

Finding 3 — Supermarket-integrated models have clear structural advantages

The move from standalone dark stores to supermarket-integrated fulfillment has been pivotal in improving operational efficiency and customer loyalty. By leveraging existing store networks and customer data, grocers can support rapid delivery at lower infrastructure risk than independent quick-commerce setups.

Finding 4 — Incumbent grocers are winning through ecosystem leverage

Tesco Whoosh and Sainsbury's Chop Chop illustrate how established grocers can use their store estates and customer ecosystems to scale quick commerce more effectively. Tesco Whoosh delivered substantial growth and contributed meaningfully to market share, while Sainsbury's strengthened retention by embedding quick commerce within its broader offer and loyalty mechanics such as Nectar.

Finding 5 — Technology and flexible fulfillment are becoming differentiators

Ocado Retail improved operational efficiency, revenue growth, and profitability after adopting the Ocado Smart Platform, reinforcing the importance of automation in the post-dark-store market. Although Ocado's market share remains modest, its performance shows that differentiated technology and flexible fulfillment can support a defensible niche.

Finding 6 — Low-capex partnership models expand access but dilute economics

Retailers such as Co-op and Morrisons have entered quick commerce through third-party delivery partnerships, avoiding the need to build extensive infrastructure. This approach offers flexibility and low upfront cost, but it also creates dependency on aggregator platforms and limits economic control through profit-sharing.

1

Market Overview and Structural Reset

1

Market Overview and Structural Reset

The UK quick commerce grocery market has moved from a venture-funded land grab to a retailer-led, efficiency-first channel embedded inside mainstream grocery operations. IGD now forecasts UK quick commerce to reach £5.5bn by 2031, growing at a 10.7% CAGR from 2026, with the channel expected to represent 15% of online grocery by that point, which implies a structurally meaningful but still subscale role versus the total grocery market.¹⁰

The reset matters because the surviving model is no longer built around standalone dark stores and speed as an end in itself. Instead, growth is being captured by supermarkets and platform partners using stores, loyalty data, and existing fulfilment networks to lower cost to serve and raise order density, while shopper behaviour is shifting from emergency use toward repeat, mission-based top-up purchasing.^{10 12}

1.1

Market Size and Growth

- IGD's July 2026 view positions UK quick commerce as one of the fastest-growing grocery sub-channels, forecasting a market value of £5.5bn by 2031 and a 10.7% CAGR from 2026 to 2031, versus 5.6% growth for online grocery overall and 3.3% for the wider grocery retail market.¹⁰
- The same forecast implies that quick commerce is scaling faster than the parent online channel, but from a smaller base. That makes it strategically important for share capture and customer retention, even if it remains a minority of total grocery spend.¹⁰
- Industry materials citing IGD's December 2024 sizing work indicate quick commerce accounted for about 8.6% of total online grocery spend and roughly 77 million annual on-demand grocery orders in the UK. Those figures are directionally consistent with IGD's 2026 narrative that the channel has moved beyond niche emergency use into a repeat shopping mission, though the order figure appears in secondary industry material rather than a directly accessible IGD data table.^{23 10}
- Growth is being supported by rising usage frequency rather than pure customer acquisition alone. IGD reported weekly quick commerce use rising from 27% of users in Q4 2024 to 33% in Q1 2026, indicating improving habit formation and better conditions for fixed-cost absorption across fulfilment and last-mile operations.¹²

1.2

Evolution from 2020-2023

- The 2020 to 2023 period was defined by a dark-store boom, with rapid delivery specialists expanding on the assumption that ultra-fast fulfilment, dense urban demand, and venture capital could outrun weak unit economics. Academic work on dark-store location optimisation reflects that phase of the market, where delivery radius, warehouse placement, and throughput were treated as the core scaling variables.¹
- By 2024 to 2026, the operating logic had changed. IGD states that the exit of pure-play operators such as Getir and Gorillas in 2024 left supermarkets and delivery platforms to absorb demand, and that quick commerce in 2026 is now defined less by speed than by integration into existing retail operating models.¹⁰

- Store-based fulfilment has become the dominant model because it uses sunk store infrastructure, existing inventory pools, and broader labour scheduling to reduce incremental cost. IGD explicitly identifies store-based fulfilment, route optimisation, and the combination of rapid and scheduled orders as the new efficiency levers replacing the earlier standalone dark-store playbook.¹⁰
- Consumer demand also evolved during the reset. IGD's Q1 2026 shopper research shows quick commerce is no longer confined to last-minute distress missions, with usage becoming more routine and platform loyalty beginning to form, which better suits omnichannel grocers than pure-play operators because they can monetise the customer across full-basket, top-up, loyalty, and media ecosystems.¹²

1.3

Market Share and Forecasts

Title — UK quick commerce structural indicators

METRIC	VALUE	PERIOD OR HORIZON
Quick commerce market size forecast	£5.5bn	2031
Quick commerce CAGR	10.7%	2026 to 2031
Share of online grocery channel	15.0%	2031 forecast
Share of online grocery spend	8.6%	2024 sizing referenced in 2025 industry material
Annual on-demand grocery orders	77 million	Annual estimate referenced in 2025 industry material
Tesco grocery market share	28.2%	12 weeks to 17 May 2026
Sainsbury's grocery market share	15.2%	12 weeks to 17 May 2026
Ocado grocery market share	2.1%	12 weeks to 17 May 2026

Source: ¹⁰ ²³ ¹⁶

GROCERY MARKET SHARE — 12 WEEKS TO 17 MAY 2026



ONLINE GROCERY CHANNEL SHARE — CURRENT VS. 2031 FORECAST



QUICK COMMERCE — KEY METRICS



- The market structure is now concentrated around incumbent grocers rather than insurgent specialists. Official UK government statistics, drawing on Worldpanel by Numerator data for the 12 weeks ending 17 May 2026, show Tesco at 28.2% grocery share, Sainsbury's at 15.2%, and Ocado at 2.1%, underscoring that the players best positioned to monetise quick commerce are those already holding meaningful grocery demand and fulfilment scale.¹⁶
- IGD's forecast that quick commerce will reach 15% of online grocery by 2031 suggests a clear share gain from today's roughly 8.6% level. On that trajectory, quick commerce is not replacing mainstream online grocery, but it is taking a larger role within online spend by winning top-up, immediate-need, and convenience-led missions.^{10 23}
- Shopper fragmentation supports this forecast model. IGD reports that 63% of online shoppers now use multiple online sub-channels, which means consumers are increasingly allocating different missions across scheduled delivery, click and collect, and rapid delivery rather than choosing a single online format.¹²
- The strongest near-term implication is that quick commerce should be analysed as a share-shifting layer inside online grocery, not as a standalone market detached from supermarket economics. The winners are likely to be operators that can convert rapid delivery into higher customer lifetime value while keeping fulfilment inside existing store and data ecosystems, an inference supported by IGD's emphasis on omnichannel integration, route density, and margin discipline.¹⁰

2

The Collapse of Pure-Play Dark-Store Operators

2

The Collapse of Pure-Play Dark-Store Operators

By 2024, the UK quick-commerce reset had become a market exit story rather than a scale story. The pure-play dark-store model failed to convert fast delivery demand into sustainable economics, and the surviving market shifted toward operators with existing store networks, broader customer monetisation, or tightly targeted premium niches.^{59 10}

The collapse was not caused by weak consumer interest alone. It reflected a structural mismatch between small, urgent baskets and a cost base that included dedicated dark stores, fragmented inventory, rider fleets, and high service-level expectations, leaving too little gross profit to absorb fixed and variable operating costs.^{1 46 10}

2.1

Exit Timeline and Key Players

Title — UK dark store operator exits

OPERATOR	UK OUTCOME	TIMING	MAIN DRIVER OF EXIT
Getir	Withdrew from UK market	April 2024 announcement	Retrenchment to Turkey after heavy international losses.
Gorillas	UK presence ended through Getir withdrawal	May 2024 operational wind-down	Dependent on Getir after acquisition, with no standalone UK path.
Gopuff	Remained, but with model adjustments	2025	Shift toward hybrid fulfilment including Morrisons stores.
Zapp	Remained in narrower footprint	2023 to 2025 repositioning	Retreat to affluent central London and premium assortment.

Source: ^{59 68 87}

- Getir announced on 29 April 2024 that it would exit the UK, Germany, the Netherlands and the US to refocus on Turkey, confirming that the international expansion thesis had broken down under pressure to cut losses.^{59 60}
- Gorillas effectively disappeared from the UK at the same time because its remaining operations had already been absorbed into Getir following the 2022 acquisition. The 2024 withdrawal therefore marked both Getir’s UK exit and the final end of Gorillas as a UK dark-store competitor.^{68 69}
- IGD identifies the 2024 exits of Getir and Gorillas as the decisive break between the venture-funded dark-store phase and the current retailer-led market structure. That framing matters because it shows the exits were not isolated failures, but the clearing event that enabled supermarkets and platform partnerships to absorb residual demand.¹⁰
- The remaining independents did not survive by preserving the original model intact. Gopuff stayed in the UK but began using Morrisons supermarkets as daytime fulfilment points in some areas, while Zapp narrowed its proposition and geography rather than pursuing national scale.⁸⁷

86

2.2

Economic Challenges and Model Breakdown

- The dark-store model carried a structurally high fixed-cost base because each micro-fulfilment site required rent, labour, inventory, replenishment, and local delivery capacity before demand density was proven. Academic work on dark-store location design shows that delivery radius and maximum daily throughput are core constraints, which implies profitability depends on very high order density and utilisation rather than speed alone.^{1 46}
- Small emergency baskets were the central economic weakness. Quick-commerce orders often solve immediate top-up missions, but those baskets generate limited gross profit while still incurring picking, packing, and last-mile costs that do not fall proportionately with basket size.^{10 100}
- Customer frequency was also too low for many pure-play operators to absorb site-level fixed costs. IGD's 2026 research shows usage frequency is improving now, but that improvement is occurring after consolidation and within omnichannel ecosystems, not within the original standalone dark-store model that needed dense repeat ordering much earlier to justify its footprint.^{12 10}
- Perishability and inventory fragmentation further weakened economics. Research on grocery inventory record inaccuracy finds perishability and frequent restocking are associated with higher inventory problems, which is especially relevant for dark stores carrying narrow but fast-moving grocery ranges where stock errors and waste directly erode already thin contribution margins.⁵⁴
- Operationally, the model was over-optimised for delivery promise rather than total system efficiency. Route optimisation research for front-warehouse and multi-depot grocery delivery shows meaningful cost savings are possible only through pooling, routing flexibility, and scale, whereas ultra-fast single-order dispatches from many small sites work against those efficiencies.^{45 46}
- The result was a margin stack that rarely closed. Pure-play operators had to fund dark-store occupancy, duplicate inventory pools, rider availability, and marketing, yet lacked the supermarket advantages of shared store labour, existing procurement scale, loyalty ecosystems, and the ability to monetise the same customer across larger weekly shops.^{10 88}

2.3

Survival Strategies and Lessons

- Zapp survived by abandoning the mass-market convenience thesis and repositioning around affluent central London demand. The company rebranded around premiumisation, expanded luxury and high-end ranges, and explicitly targeted wealthier London shoppers rather than chasing broad geographic coverage.^{85 89}
- This was a margin repair strategy, not a growth strategy. Higher-income neighbourhoods support larger baskets, lower price sensitivity, and stronger demand for premium alcohol, gifting, and convenience-led top-ups, all of which improve gross margin per drop relative to mainstream grocery baskets.^{96 88}
- The trade-off is clear. A premium niche can support store-level profitability in dense urban catchments, but it does not create a scalable national grocery model, which is why Zapp's survival should be read as evidence of strategic retreat and specialisation rather than proof that pure-play dark stores broadly work.^{87 86}

- The broader lesson from Zapp and Gopuff is that survival required hybridisation. Operators either narrowed into premium urban micro-markets or borrowed incumbent infrastructure, because the original proposition of standalone, ultra-fast, mass-market grocery delivery could not reliably cover its cost of capital and operations in the UK.^{87 10}
- For investors, the key takeaway is that quick commerce remains viable only where fixed assets, demand density, and customer economics are tightly aligned. In the UK, that alignment now exists mainly in supermarket-led omnichannel models and a small number of premium urban niches, not in the original venture-funded dark-store template.^{10 88}

3

Tesco Whoosh — The Scale Play

3

Tesco Whoosh — The Scale Play

Tesco Whoosh is the clearest example in the UK market of quick commerce becoming viable through incumbent scale rather than standalone dark store economics. Tesco has used its national store estate, online grocery infrastructure, and existing customer base to turn rapid delivery into a meaningful online growth lever, with management disclosing more than £400m of Whoosh sales in FY2025/26, 51% year on year growth, and coverage reaching 73% of UK households.^{117 115}

The strategic significance is not just growth. Tesco is showing that quick commerce works best when it is layered onto an existing omnichannel system, but that same integration creates operational strain inside stores because picking speed, stock accuracy, labour allocation, and service consistency all become harder as order volumes rise.^{117 54 45}

3.1

Sales Performance and Growth Metrics

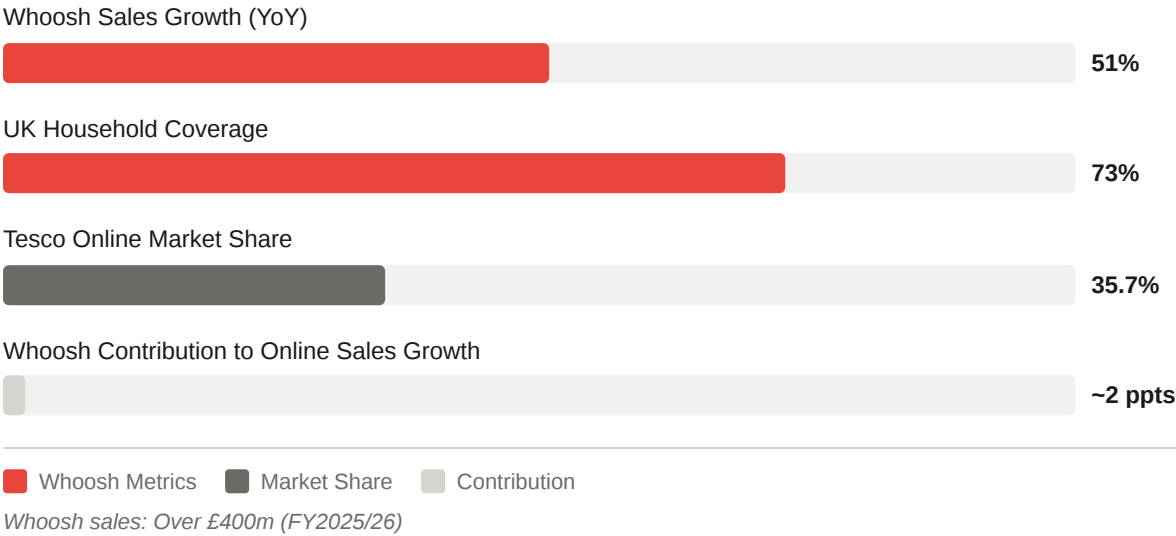
Tesco disclosed that Whoosh sales exceeded £400m in FY2025/26, up 51% year on year, while total online sales grew 11.2%. Management also stated that Whoosh contributed about 2 percentage points of online sales growth, indicating that rapid delivery is now a material component of Tesco’s digital growth rather than a peripheral convenience add-on.^{117 120}

Tesco’s online position also strengthened alongside Whoosh expansion. Tesco reported 35.7% online market share in the 12 weeks ended 22 February 2026, up 30 basis points year on year, suggesting that rapid delivery is helping defend and extend share within the online grocery channel rather than merely shifting demand within Tesco’s own estate.^{118 117}

Title — Tesco Whoosh key scale metrics

METRIC	VALUE	PERIOD
Whoosh sales	Over £400m	FY2025/26
Whoosh sales growth	51%	YoY
UK household coverage	73%	FY2025/26
Tesco online market share	35.7%	12 weeks to 22 Feb 2026
Contribution to Tesco online sales growth	c.2 percentage points	FY2025/26

Source: ^{117 118 115}



The growth trajectory has been sustained across multiple reporting points. Tesco reported Whoosh sales up 47% in its Q3 and Christmas 2025/26 trading statement, after saying in FY2024/25 that Whoosh sales had almost doubled and that more than 1.2 million Whoosh orders were placed across the Christmas period, which indicates continued momentum rather than a one quarter spike.^{126 129 128}

IGD’s 2026 analysis adds an important qualitative signal behind the numbers. It notes that Tesco’s proposition has evolved beyond emergency top-up missions through larger basket sizes and same day scheduled fulfilment, implying that growth is being supported by broader shopping missions with better revenue density per order.¹¹⁵

3.2

Operational Model Analysis

Tesco’s core advantage is the store as hub model. Rather than building a parallel dark store network, Tesco has scaled Whoosh through its existing store estate, which management says enabled rapid expansion to 73% of UK households and allowed the service to become nationally meaningful with far lower incremental fixed cost than a standalone network would require.^{117 119}

This model creates several structural advantages. Tesco can leverage existing inventory pools, sunk occupancy costs, established replenishment systems, and a broad labour base, while also using the same stores to serve walk-in, scheduled online, and rapid delivery demand, which improves asset utilisation relative to dedicated dark stores.^{115 103}

Tesco has also widened the operating model beyond pure immediacy. IGD reports that Whoosh now includes larger baskets and same day scheduled fulfilment, which matters because a blended mission mix can improve picking productivity, route planning, and gross profit per drop compared with a model built only around ultra urgent small baskets.^{115 2}

The operating logic is consistent with academic evidence on quick commerce and e-grocery. Research on dark store location optimisation shows that dedicated rapid delivery networks are constrained by delivery radius and throughput, while route optimisation research shows that

cost efficiency improves when operators can pool demand and avoid over-optimising for the shortest possible delivery promise.^{1 45 2}

Tesco's model therefore offers a competitive advantage that is difficult for smaller rivals to replicate. The combination of national store density, online grocery scale, and existing customer traffic lowers the threshold order density needed for viability, which is precisely where pure play dark store operators struggled.^{115 10}

3.3

Profitability and Challenges

Tesco does not separately disclose Whoosh operating profit, so direct profitability cannot be verified from reported segment accounts. However, several indicators point to improving economics: sales are above £400m, growth is being driven by larger basket sizes and new customers, Whoosh is contributing materially to online growth, and Tesco continues to expand the service rather than retrench it, all of which are consistent with positive strategic returns even if exact margins remain undisclosed.^{117 115}

The strongest profitability case is comparative rather than absolute. Tesco avoids the duplicate rent, inventory fragmentation, and dedicated site overheads that undermined dark store operators, so its break-even threshold should be materially lower than that of a standalone rapid delivery player serving similar baskets.^{10 1}

That said, the model is not frictionless. Store-based fulfilment pushes operational complexity back into the branch network, where rapid picking competes with shelf replenishment, in-store shoppers, and scheduled online orders for labour and space, creating service risk as volumes scale.^{119 45}

Inventory accuracy is a particularly important pressure point. A 2025 grocery retail study covering about 24,000 SKUs across 11 stores found inventory record inaccuracy is higher for perishable items and frequent restocking environments, both of which are highly relevant to rapid grocery fulfilment, and that audits can lift store-wide sales by 11% where negative inventory inaccuracy is corrected.⁵⁴ This implies that Whoosh scale can amplify the cost of stock errors unless Tesco invests continuously in stock discipline and systems.

There is also a delivery promise tension. Research on online grocery shows that modestly longer delivery windows can materially reduce mileage and operating burden, but quick commerce branding depends on speed, so Tesco must balance customer expectations against route efficiency and labour productivity.² The likely implication is that Tesco's move toward broader missions and some scheduled fulfilment is not just a growth tactic but also a margin management tool, although that remains an inference from the operating evidence rather than a directly disclosed company statement.^{115 117}

4

Sainsbury's Chop Chop and Ecosystem Integration

4

Sainsbury's Chop Chop and Ecosystem Integration

Sainsbury’s quick commerce strategy is less about a standalone ultra fast delivery brand and more about embedding on demand fulfilment inside a broader food, loyalty, data and partner ecosystem. In FY2025/26, the group reported OnDemand sales growth of 69% to more than £700 million, with coverage reaching 70% of the UK population, while Groceries Online sales rose 13%, indicating that rapid delivery is being scaled as part of a wider digital grocery proposition rather than as a separate venture style business.^{144 141}

The strategic distinction versus the failed dark store cohort is integration. Sainsbury’s is combining Chop Chop, aggregator partnerships, Nectar loyalty, and a unified app roadmap to increase order frequency, improve customer retention, and spread fulfilment economics across an existing supermarket and convenience estate, which is structurally more defensible than a dedicated rapid delivery network.^{144 187}

4.1

Revenue and Growth Performance

Sainsbury’s disclosed that OnDemand sales increased 69% year on year to more than £700 million in the 52 weeks ended 28 February 2026, with service reach extending to 70% of the UK population. That makes Sainsbury’s disclosed quick commerce revenue larger than Tesco Whoosh on a reported basis, although the company reports the broader OnDemand category rather than a pure Chop Chop only figure, so direct like for like comparison should be treated carefully.^{144 187}

Title — Sainsbury's quick commerce scale indicators

METRIC	VALUE	PERIOD
OnDemand sales	More than £700m	FY2025/26
OnDemand sales growth	69%	YoY
UK population coverage	70%	FY2025/26
Groceries Online sales growth	13%	FY2025/26

Source: ^{144 141}

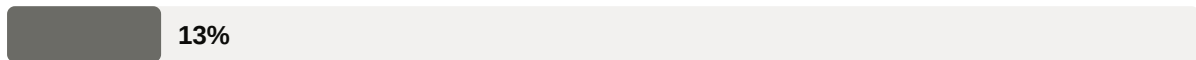
OnDemand Sales Growth



UK Population Coverage



Groceries Online Sales Growth



OnDemand Sales



■ OnDemand
 ■ UK Coverage
 ■ Groceries Online

The growth matters because it shows rapid delivery is becoming material to Sainsbury's digital food mix rather than remaining a marginal convenience add on. Management explicitly linked online growth to the rising contribution from OnDemand, which suggests quick commerce is helping the group capture incremental grocery missions and defend share in a fragmented online market.^{144 141}

The market positioning is also consistent with the post consolidation reset described by IGD. As pure play operators exited, incumbent grocers with store networks and existing customer relationships were best placed to absorb demand, and Sainsbury's reported growth indicates it has been one of the main beneficiaries of that demand transfer.^{187 144}

4.2

Partnership and Loyalty Integration

Sainsbury's has tied quick commerce more closely to customer retention by extending Nectar into partner channels rather than limiting loyalty to owned checkout environments. In April 2026, the company said it had launched reward partnerships with Uber and Uber Eats, and in July 2026 Sainsbury's, Nectar and Uber Eats announced that UK customers could collect Nectar points on eligible Sainsbury's orders placed through participating Uber Eats storefronts.^{144 165 161}

This is strategically important because aggregator channels often weaken retailer ownership of the customer relationship. By attaching Nectar earning to Uber Eats orders, Sainsbury's reduces that disintermediation risk, preserves a data link to the shopper, and gives customers a reason to keep choosing Sainsbury's within a multi merchant marketplace environment.^{165 164}

The loyalty layer is broader than points accrual alone. Sainsbury's reported that Nectar participation reached its highest ever level in FY2025/26, digitally active users increased 35%, customers saved an average of £15.50 on an £80 plus weekly shop with Nectar Prices, and Your Nectar Prices was rolled out across all supermarket checkouts, reinforcing a single value architecture across store, online and on demand missions.^{144 141}

For consumer engagement, the implication is that Sainsbury's is using quick commerce as another touchpoint inside the Nectar ecosystem, not as a separate proposition. That should

improve repeat behaviour and customer lifetime value because the same shopper can earn personalised value and rewards whether they are doing a weekly shop, a top up order, or a marketplace based urgent mission.^{141 162}

4.3

Embedded Delivery Strategies

Sainsbury's is embedding rapid delivery operationally by integrating owned and partner channels into one digital and store based system. In its FY2025/26 results, the company said it is joining up the Groceries Online, ChopChop and SmartShop apps into one coherent app, creating the foundation for future personalisation and AI led experiences.¹⁴⁴

That roadmap matters because it shifts Chop Chop from being a standalone service interface to being one fulfilment mode inside a unified customer journey. A single app architecture should lower friction between planned and immediate missions, improve cross channel visibility of offers and stock, and allow Sainsbury's to use first party data more effectively across search, promotions, substitution logic and retention activity, although the exact financial benefit is an inference from the integration strategy rather than a separately disclosed metric.^{144 141}

The fulfilment model is also ecosystem based rather than asset duplicative. Sainsbury's has historically scaled on demand through Chop Chop plus partnerships with Deliveroo and Uber Eats from its store estate, and the current strategy continues to rely on that hybrid structure instead of building a large dedicated dark store network, which should keep fixed costs lower and asset utilisation higher than the pure play model that failed in the UK.^{144 147 187}

A further advantage is that Sainsbury's can monetise the same customer beyond grocery margin. Nectar360, the group's retail media business, depends on scaled first party data and omnichannel reach, and management explicitly links growth in the loyal primary customer base to Nectar360's economics. That means quick commerce orders can contribute not only direct sales, but also richer behavioural data and advertising value across the wider ecosystem, strengthening the business case for embedded rapid delivery.^{144 141}

5

Ocado Retail — Technology-Led Recovery

5

Ocado Retail — Technology-Led Recovery

Ocado Retail’s recovery is strategically important because it is the clearest UK example of a quick-commerce adjacent grocery model improving economics through automation, fulfilment density and software integration rather than through store-led rapid delivery scale. After the dark-store shakeout, Ocado’s proposition stands apart: it is not competing on ubiquity of local stores, but on a high-service online grocery model whose economics improved materially once the business completed its migration onto Ocado Smart Platform and lifted fulfilment productivity across its customer fulfilment centre network.¹⁸⁸

That distinction matters for investors because Ocado Retail’s progress suggests there is a second viable post-consolidation path in UK online grocery beyond the supermarket store-as-hub model. The evidence from H1 2026 points to a business regaining profitability through better asset utilisation, higher operational efficiency and a more flexible customer proposition, while still remaining a relatively small player in total grocery share terms.¹⁸⁸

5.1

Financial Recovery and Market Position

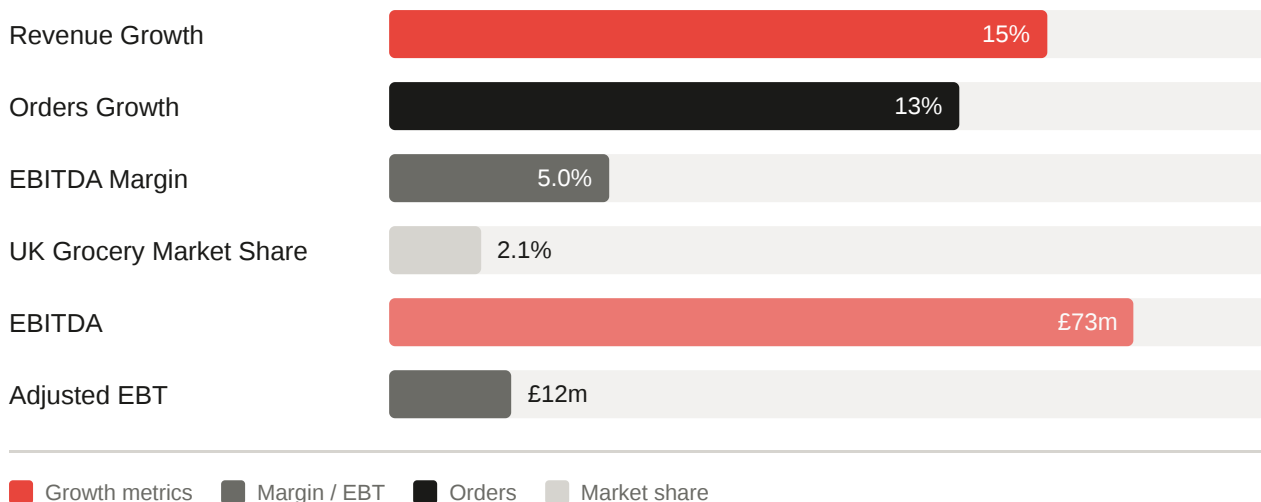
Ocado Retail returned to adjusted profitability in the first half of 2026, with revenue up 15%, EBITDA at £73m and adjusted EBT at £12m, versus an adjusted EBT loss of £17m and EBITDA of £33m in H1 2025. That is a meaningful inflection because it shows the business has moved beyond top-line recovery into earnings repair, with EBITDA margin reaching 5.0% excluding Hatfield fees.¹⁸⁸

The recovery appears to be volume-led but efficiency-enabled. Ocado Group reported orders up 13% in H1 2026, while total CFC costs including labour fell to 5.7% of sales and units-per-hour efficiency improved 11%, indicating that incremental demand is now being processed through a more productive fulfilment base rather than simply adding cost in line with volume.¹⁸⁸

Title — Ocado Retail recovery indicators

METRIC	VALUE	PERIOD
Revenue growth	15%	H1 2026
EBITDA	£73m	H1 2026
Adjusted EBT	£12m	H1 2026
EBITDA margin	5.0%	H1 2026
Orders growth	13%	H1 2026
UK grocery market share	2.1%	12 weeks to 17 May 2026

Source: ¹⁸⁸ 16



Market position remains modest in absolute share terms. UK government statistics drawing on Kantar data show Ocado at 2.1% grocery market share in the 12 weeks to 17 May 2026, so the investment case is not about national scale parity with Tesco or Sainsbury's, but about whether a specialist online model can earn acceptable returns in a mature market.¹⁶

The answer is increasingly yes, but with limits. Ocado Retail is still a niche share player relative to the major supermarkets, yet its return to positive adjusted EBT suggests that a focused online grocer can remain economically relevant if it combines strong order growth with high automation and disciplined network utilisation.¹⁸⁸

5.2

Role of Ocado Smart Platform

Ocado Smart Platform has been central to the recovery because it shifted Ocado Retail onto the same integrated technology stack that Ocado sells to third-party grocery partners. Ocado Group states that in FY25 Ocado Logistics completed the migration of Morrisons and Ocado Retail from the legacy platform onto OSP, and that the transition enabled new customer capabilities including short lead-time orders and more flexible delivery slots through Ocado Swift Router.¹⁸⁹

The operational significance is visible in productivity metrics. Ocado Retail's 2025 annual report said CFC capacity utilisation rose from 75% at the end of FY23 to a peak of 94% in February 2025, average UPH increased 11.9% to 225, and the Luton CFC reached a peak of 286 UPH as On-Grid Robotic Pick was rolled out further.¹⁹⁰

These gains matter because OSP is not just a front-end e-commerce system. Ocado describes it as an end-to-end platform spanning e-commerce, fulfilment, supply chain and last mile, and says operating the full suite enables higher productivity and efficiency for retailers while improving the customer proposition. That architecture helps explain why profitability improved alongside service flexibility rather than requiring a trade-off between the two.¹⁹¹

The broader strategic value is that Ocado Retail functions as a live proof point for OSP. When Ocado Retail improves slot flexibility, picking efficiency and fulfilment economics on OSP, it strengthens the credibility of Ocado Group's technology offer to partners such as Asda, which in May 2026 agreed an e-commerce partnership using OSP for its UK online business.¹⁹²

Academic evidence supports the logic behind this model. Research on e-grocery fulfilment centres shows that integrated storage assignment, fast-picking design and workload balancing can materially improve picking efficiency, while broader order-fulfilment research finds that profit outcomes depend on the interaction between replenishment, fulfilment and routing decisions rather than on any single lever alone. Ocado's OSP model is effectively a commercial implementation of that integrated optimisation approach.¹⁹³

5.3

Strategic Innovations in Market Segmentation

Post dark-store era, Ocado Retail's differentiation has shifted toward service segmentation rather than speed absolutism. The company is using technology to widen the range of shopping missions it can serve, including shorter lead-time orders, more flexible delivery slots and a high-availability full-basket proposition, which positions it differently from both emergency-led rapid delivery apps and store-based supermarket top-up services.¹⁸⁹

This is a more defensible segment than pure ultra-fast grocery. Ocado Retail is not trying to win on 10-minute delivery density; instead it is targeting customers who value assortment breadth, delivery precision, substitution quality and a premium digital experience, while using automation to keep the cost-to-serve within a viable range. That is an inference from the company's operating model and disclosed technology priorities, rather than a direct management quote.¹⁹⁰

The migration onto OSP also creates room for finer commercial segmentation. Ocado Group says the platform transition opened up new opportunities for customers, and the Swift Router rollout specifically improved short lead-time ordering and slot flexibility, which can support differentiated service tiers by urgency, basket mission or delivery preference without replicating the fixed-cost burden of a dark-store estate.¹⁹⁴

A second innovation is strategic spillover from technology commercialisation. Because Ocado Retail operates on the same platform Ocado licenses externally, improvements made for the UK retail business can reinforce partner sales, while partner deployments can in turn amortise platform development across a wider base. That creates a structural advantage versus standalone grocers whose technology spend is captive to one retail P&L.¹⁹⁵

For the UK quick-commerce landscape, the implication is that Ocado Retail is not a direct replica of Tesco Whoosh or Sainsbury's OnDemand. It represents a technology-led alternative in which market relevance comes from superior online grocery economics and proposition quality, not from the largest convenience footprint, making it one of the few post-2025 models that appears capable of combining growth, differentiation and improving profitability.¹⁸⁸

6

Delivery Platform Partnerships: Co-op, Morrisons, and the Aggregator Model

6

Delivery Platform Partnerships: Co-op, Morrisons, and the Aggregator Model

Third-party delivery partnerships have become the lowest-risk route into UK quick commerce for retailers that lack Tesco-scale owned infrastructure or do not want to build a dedicated rapid-delivery stack. In the post-dark-store market, Co-op and Morrisons are using Deliveroo, Uber Eats, Amazon and other partners as demand aggregators, last-mile operators and increasingly white-label infrastructure providers, allowing them to participate in on-demand grocery while keeping capital intensity low and leveraging existing store estates.^{207 209 211}

The trade-off is economic dependence. Aggregators can supply reach, order flow, rider capacity and digital storefronts, but they also intermediate the customer relationship, take a meaningful share of order economics and can push retailers into a channel where service standards, promotions and margin outcomes are partly controlled by the platform rather than the grocer.^{196 202 214}

6.1

Retail Participation Through Partnerships

Co-op is the clearest UK example of a retailer using partnerships to scale quick commerce without building a parallel dark-store network. Its 2025 annual report said 90% of the UK population could shop Co-op online and that member prices were available through its own site and all delivery partners, while the company separately said 86% of the population had access through shop.coop.co.uk and partners including Uber Eats, Just Eat, Deliveroo and Starship.^{210 218}

- Co-op: The Uber Eats partnership, launched in 2022 and renewed for three years, had expanded to more than 1,300 stores by the renewal announcement, while Deliveroo said Co-op had more than 550 stores on its marketplace and became the first UK grocer to adopt Deliveroo Express white-label in 2025.^{207 214 211}
- Morrisons: Morrisons states in its annual report that it offers home delivery and takeaway through Deliveroo and Gopuff, while its sustainability report adds Amazon and Just Eat as online partners, showing a multi-platform participation model rather than a single-channel bet.^{209 219}
- Infrastructure logic: Both retailers use store-based picking from existing estates rather than dedicated dark stores, which sharply lowers fixed-cost exposure and lets them test demand by catchment without committing new real estate or rider fleets.^{212 231 103}
- Strategic extension: Co-op's use of Uber Direct and Deliveroo Express shows the model is evolving from pure marketplace listing toward outsourced infrastructure, where the platform can also power orders placed on the retailer's own digital surfaces.^{207 211}

This matters because partnerships let second-tier and convenience-led grocers remain relevant in rapid delivery after the dark-store collapse. They can access app traffic, rider density and fulfillment software immediately, while using sunk store assets as the physical backbone of the service.^{217 209 207}

6.2

Economic Dynamics of Aggregator Models

The aggregator model offers three immediate economic benefits to retailers. It reduces upfront capital needs, accelerates geographic rollout and converts a large part of last-mile cost from fixed to variable, because the platform supplies the consumer app, dispatch technology and courier network.^{214 207 204}

- Cost flexibility: Retailers avoid building dedicated rider fleets and dark stores, so the model is better suited to uncertain order density and local demand variation than the pure-play approach that failed in 2024.^{209 212}
- Scale access: Deliveroo said it added around 4,000 sites across restaurant, grocery and retail in H1 2025 and launched Deliveroo Express in April 2025, illustrating how platforms can scale merchant distribution faster than most grocers can scale proprietary rapid-delivery systems.^{224 211}
- Demand generation: Deliveroo positions its merchant proposition around incremental demand, consumer reach and profitability tools, while Co-op's reported online convenience growth suggests these channels can add volume rather than merely replicate store sales.^{214 210}
- Service quality upside and limit: Academic work on local delivery platforms finds that efficient consolidation can lower travel time and late deliveries, but only if the platform balances urgency against batching. That implies service quality improves with platform density and routing sophistication, yet ultra-fast promises can still conflict with cost efficiency.^{204 202}

The limitations are equally important. Aggregators can create channel conflict with owned e-commerce, expose retailers to platform-led promotions and fees, and weaken control over substitutions, picking windows and customer service when the order journey is split across retailer and platform systems.^{196 202}

Which? found in October 2025 that supermarket groceries bought through major delivery apps could cost shoppers at least 20% more in some cases, with some items priced at double the direct supermarket price. That pricing gap helps fund the convenience stack, but it also shows the model depends partly on consumers tolerating a meaningful convenience premium, which may cap penetration outside urgent or high-income missions.²²⁹

6.3

Margin Capture and Value Distribution

The central question in the aggregator model is not whether orders grow, but who keeps the economics after fulfillment, delivery, promotions and platform fees. In theory, platforms capture value through commissions, delivery fees, advertising and control of marketplace demand, while retailers retain product margin and inventory ownership; in practice, both sides often share a thin pool of contribution profit.^{196 202 224}

Title — Aggregator model value capture by function

FUNCTION	PRIMARY VALUE HOLDER	ECONOMIC IMPLICATION
Inventory and product gross margin	Retailer	Retailer keeps merchandise economics but must absorb picking, shrink and substitution risk.
Consumer demand aggregation	Platform	Platform controls discovery, traffic and ranking, increasing retailer dependence on marketplace visibility.
Last-mile delivery execution	Platform	Variable-cost outsourcing lowers retailer capex but transfers part of order economics to courier and platform fees.
Loyalty and data ownership	Shared, often platform-tilted	Retailer can recover some value through linked loyalty schemes, but marketplace intermediation still weakens direct customer ownership.

Source: 196 214 208

- Retailer benefit: Co-op and Morrisons gain incremental reach, faster market entry and better utilisation of existing stores. Loyalty integrations such as Morrisons More on Deliveroo and Co-op member pricing on partner channels show retailers are trying to claw back some customer ownership and defend repeat economics inside third-party environments.^{208 210 221}
- Platform benefit: Deliveroo monetises grocery through merchant commissions, delivery economics, advertising and white-label services. Its 2025 interim report highlighted an advertising revenue run-rate of £117m in Q2 2025 and continued expansion in grocery and retail, indicating that the platform monetises not just the transaction but also merchant visibility and digital shelf space.^{224 217}
- Consumer-funded margin repair: The convenience premium visible in app pricing suggests part of the value stack is passed through to shoppers rather than created through pure efficiency. That means the model can work operationally even when neither retailer nor platform captures supermarket-like margins, provided the consumer accepts higher effective prices for speed and convenience.²²⁹

The balance of benefit is therefore mixed. Platforms appear to capture the stronger structural position because they own traffic, dispatch and increasingly white-label infrastructure, but retailers still benefit when aggregator orders are incremental, store-picked and linked back to loyalty or owned digital channels. Where baskets are small, promotions are heavy and picking costs remain in-store, the likely outcome is that neither side captures outsized margin and the consumer convenience premium does much of the economic work. This final point is an inference from the cited platform-design research, retailer partnership structures and observed app pricing rather than a directly disclosed per-order margin statement from Co-op, Morrisons, Deliveroo or Uber Eats.^{196 202 229}

7

The Economics of Quick Commerce: Why Most Models Still Lose Money

7

The Economics of Quick Commerce: Why Most Models Still Lose Money

Quick commerce economics in the UK have improved since the 2024 collapse of pure-play dark-store operators, but the channel still carries a structurally difficult cost stack. The core problem is that a small, urgent grocery basket must absorb picking, packing, inventory complexity, and a time-sensitive last mile that does not scale down in proportion to basket value, which is why most models remain margin-thin even after consolidation.^{1 46 10}

The post-2025 winners are not those delivering fastest in absolute terms, but those lowering incremental cost by using existing stores, replenishment systems, customer data, and broader online grocery demand. That is why supermarket-led models have become more viable than standalone operators, while even surviving specialists have either narrowed into premium urban niches or borrowed incumbent infrastructure rather than funding a national dark-store estate.^{10 13 45}

7.1

Cost-to-Serve Breakdown and Analysis

The quick-commerce cost stack is dominated by four elements: fulfillment labour, last-mile delivery, inventory carrying and shrink, and customer acquisition or promotion support. In a dark-store or front-warehouse model, each of these costs is incurred against relatively small baskets and tight delivery promises, which compress contribution margin even before central overhead and capital costs are considered.^{46 45 10}

Title — Quick commerce cost to serve by cost block

COST BLOCK	ECONOMIC PRESSURE	WHY IT IS HARD TO ABSORB
Picking and packing labour	High variable cost per order	Small baskets still require order assembly, substitution handling, and service-level speed.
Last-mile delivery	High variable and semi-fixed cost	Tight delivery windows reduce batching and route density, raising cost per drop.
Inventory and replenishment	Working capital and handling burden	Fast-moving grocery requires high availability despite uncertain demand and short shelf life.
Wastage and stock inaccuracy	Direct gross margin leakage	Perishables, frequent restocking, and fragmented inventory increase shrink and missed sales.
Site and overhead costs	Fixed-cost burden	Dark stores add rent, utilities, local management, and duplicated operating infrastructure.

Source: ^{46 54 10}

- Last mile: This remains the hardest cost to dilute because rider time, dispatching, and failed batching opportunities are driven by geography and promised speed rather than by basket value. Research on pooled grocery delivery shows that cost efficiency improves when orders can be grouped across multiple depots and routes can be replanned dynamically, which is the opposite of the single-order immediacy logic that defined early quick commerce.⁴⁶

- **Fulfillment labour:** Picking economics are fragile because a 10-item top-up basket still requires store or dark-store labour, quality checks, and packing. IGD's 2026 analysis that the market is shifting toward larger baskets and broader missions is economically important because it raises gross profit per order without proportionately increasing pick cost.¹⁰
- **Inventory complexity:** Grocery is harder than restaurant delivery because the operator must hold stock, manage substitutions, and maintain availability across ambient, chilled, and fresh lines. Research on grocery inventory record inaccuracy across about 24,000 SKUs in 11 stores found higher inaccuracy for perishables and frequent restocking environments, both of which are highly relevant to rapid grocery fulfillment.⁵⁴
- **Wastage and spoilage:** Perishable inventory creates a second margin drag beyond stockouts because over-ordering to protect availability can turn into markdowns or waste. A 2026 grocery forecasting study on more than 1,700 products across 676 stores found discounted sales around expiring perishables distort future demand forecasting, increasing the risk of excess inventory and spoilage if not modelled correctly.²⁴⁵
- **Delivery promise cost:** Speed itself is expensive because it reduces the operator's ability to batch orders and optimise routes. A 2025 study using more than 8 million grocery orders found that allowing just five additional minutes in delivery time reduced daily delivery mileage by about 30%, showing how strongly ultra-fast promises can inflate cost to serve.²

The practical implication is that quick commerce only works when operators either raise revenue density per order or lower incremental cost through shared assets. Without one of those two levers, the model remains trapped between supermarket-like gross margins and courier-like service costs.^{10 13}

7.2

Scale Advantages and Infrastructure Impact

Scale matters in quick commerce because it lowers the break-even order density required at each catchment. Operators with broad store estates, existing replenishment systems, and established online demand can spread fixed and semi-fixed costs across more orders, more missions, and more channels than a standalone dark-store network can.^{1 10}

- **Store network advantage:** IGD states that store-based fulfillment has emerged as the dominant UK model because it improves route density and reduces cost by leveraging existing infrastructure. This means rent, utilities, replenishment, and much of the labour base are already funded by the core supermarket business rather than by the quick-commerce P&L alone.¹⁰
- **Demand pooling:** Supermarkets can combine walk-in demand, scheduled online orders, and on-demand top-up missions through the same inventory pool. That improves asset utilization and reduces the risk that a local fulfillment node sits underused, which was a major weakness of dedicated dark stores constrained by delivery radius and maximum daily throughput.¹
- **Route efficiency:** Larger networks create more opportunities to batch and dynamically assign orders across depots or stores. Research on multi-depot grocery delivery shows that optimizing pickup location and allowing route adaptation materially improves distance efficiency, which favours operators with many viable fulfillment points rather than a sparse standalone network.⁴⁶
- **Inventory productivity:** Established grocers already have supplier relationships, replenishment cadence, and category management systems that support higher availability at lower incremental working capital cost. By contrast, dark stores duplicate inventory pools and narrow SKU ranges, which can improve pick speed but worsen capital efficiency and stock fragmentation, a trade-off

also reflected in NIQ's observation that UK dark stores typically average around 2,000 SKUs versus roughly 50,000 for traditional grocers.^{254 54}

- Customer economics: Scale also improves monetization beyond the order itself. Supermarkets can use loyalty, retail media, and full-basket grocery relationships to raise lifetime value, whereas standalone operators depend much more heavily on the economics of the individual drop.^{10 12}

Infrastructure therefore changes the economics more than speed does. The UK market reset since April and May 2024 effectively proved that quick commerce is not a standalone logistics category first, but a grocery operating model that only becomes viable when embedded inside a larger retail system.¹⁰

7.3

Comparison of Standalone vs. Supermarket Models

The economic gap between standalone and supermarket-led quick commerce is primarily a gap in cost absorption, not just in revenue scale. Standalone operators must make each order carry a larger share of rent, labour, inventory, and delivery overhead, while supermarket-led models can treat rapid delivery as an incremental service layered onto assets and customer relationships that already exist.^{10 13}

- Standalone model: The pure-play dark-store approach was built around dedicated micro-warehouses, narrow delivery radii, and ultra-fast service promises. Academic work on dark-store location design shows that this model is tightly constrained by warehouse throughput and delivery radius, meaning profitability depends on very high local order density that proved difficult to sustain in the UK outside a few dense premium catchments.¹
- Supermarket-led model: Incumbents use stores as fulfillment hubs, share inventory with the core business, and can flex labour across channels. IGD explicitly identifies store-based fulfillment, route optimization, and integration into existing retail operating models as the defining features of the rebuilt UK market.¹⁰
- Basket economics: Standalone operators are more exposed to small emergency baskets because they lack a broader mission mix. Supermarkets are increasingly using quick commerce for larger baskets, same-day needs, and cross-channel shopping missions, which improves gross profit per order and reduces the share of orders that are structurally uneconomic.^{10 12}
- Capital intensity: Standalone operators fund a parallel network of sites, local inventory, and often dedicated rider capacity. Supermarkets instead use sunk real estate and existing replenishment infrastructure, so the incremental capital required to add rapid delivery is materially lower, even if store congestion and labour complexity rise.^{13 54}
- Profitability outlook: Supermarket-led quick commerce is not automatically high margin, but it is structurally more viable because it lowers the break-even threshold. Standalone models can still survive in premium, dense urban niches, yet the UK evidence after Getir and Gorillas shows that national-scale pure-play grocery quick commerce has not demonstrated durable economic viability.¹⁰

For investors, the key distinction is between businesses that need quick commerce to be profitable on a near-standalone basis and businesses that use it to deepen a profitable grocery ecosystem. In the UK as of 2025 to 2026, the latter model is the one with credible economic durability, while the former has largely been eliminated or forced into niche retreat.

8

Competitive Landscape and Market Share

8

Competitive Landscape and Market Share

The post-2025 UK quick-commerce grocery market is no longer defined by standalone rapid-delivery challengers. Competitive power has consolidated around incumbent grocers and platform-enabled retailers that can layer on-demand fulfilment onto existing store estates, online demand, loyalty systems and supplier scale, making quick commerce a share-defence and share-accretion tool rather than a separate market structure in its own right.^{16 10 13}

Within that reset, quick commerce is increasingly influencing competitive position inside online grocery rather than overturning the total grocery hierarchy. Tesco and Sainsbury's are using rapid delivery to deepen digital share and customer retention, while Ocado is defending a smaller but more differentiated position through technology and service quality; meanwhile, partnership-led players such as Co-op and Morrisons remain relevant in local missions without materially reshaping national share leadership.^{16 296 144 188}

8.1

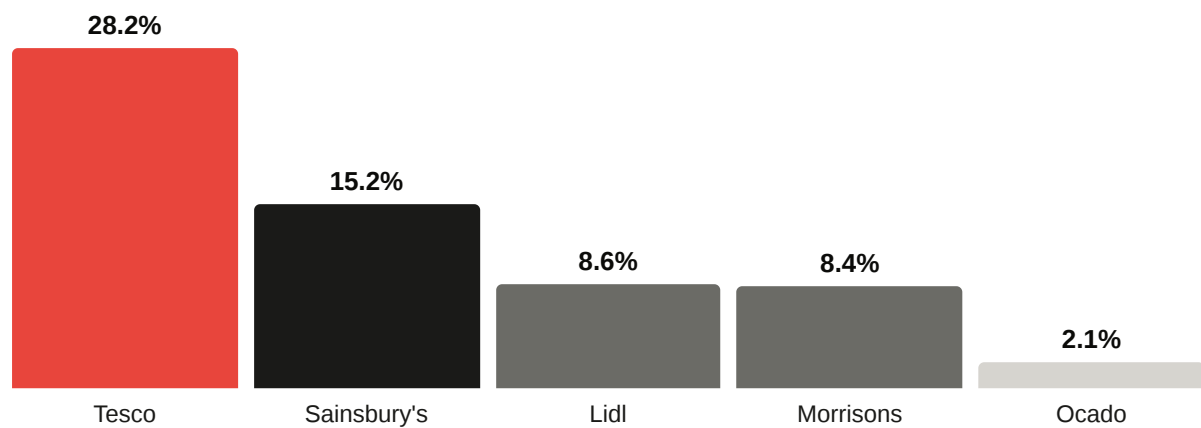
Current Market Share Assessment

The national grocery share picture remains highly concentrated. UK government statistics for the 12 weeks to 17 May 2026 show Tesco at 28.2%, Sainsbury's at 15.2% and Ocado at 2.1%, confirming that the retailers with the strongest quick-commerce propositions are also those entering the channel from positions of existing grocery scale and customer reach.^{16 33}

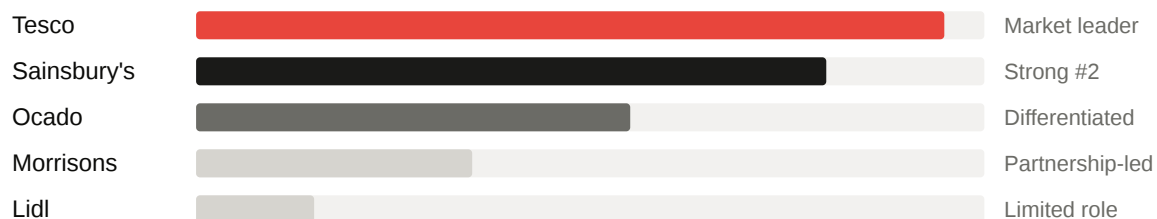
Title — Leading UK grocers and quick commerce positioning

RETAILER	GROCERY MARKET SHARE %	COMPETITIVE QUICK COMMERCE POSITION
Tesco	28.2	Market leader with Whoosh scaled through store-as-hub fulfilment and over £400m sales in FY2025/26.
Sainsbury's	15.2	Strong number two with OnDemand above £700m and rapid integration into Nectar and partner channels.
Ocado	2.1	Small national share but differentiated online specialist with restored profitability in H1 2026.
Lidl	8.6	Rising grocery share but limited direct role in UK quick commerce relative to omnichannel incumbents.
Morrisons	8.4	Relevant in on-demand through partnerships, but weaker strategic control than owned-channel leaders.

Source: ^{16 10 296 144}



QUICK COMMERCE STRENGTH



- **Tesco:** Tesco's 28.2% total grocery share and 35.7% online market share indicate that quick commerce is reinforcing leadership where it matters most, inside the digitally active customer base. Whoosh is strategically important because it adds frequency and convenience without requiring a parallel dark-store estate, strengthening Tesco's competitive moat rather than merely adding a niche service.^{16 117}
- **Sainsbury's:** Sainsbury's 15.2% grocery share understates its digital momentum, because OnDemand sales above £700m and 69% growth suggest it is gaining disproportionate relevance in immediate-need and top-up missions. Its competitive strength comes from combining supermarket scale with loyalty-linked marketplace access, which improves retention in a fragmented online environment.^{16 144 10}
- **Ocado:** Ocado's 2.1% share keeps it a niche player in total grocery, but its H1 2026 return to adjusted EBT profitability means it competes on economics and proposition quality rather than footprint. In the post-dark-store market, that makes Ocado strategically credible even without mass-market convenience scale.^{16 188}
- **Partnership-led retailers:** Morrisons and Co-op remain visible in quick commerce through Deliveroo, Uber Eats and other partners, but their competitive position is structurally weaker than Tesco's or Sainsbury's because they do not control the full customer journey or the same degree of data capture. Their role is best understood as participation and local relevance, not category leadership.^{209 210 214}

8.2

Impact of Quick Commerce on Retail Dynamics

Quick commerce is changing competition by shifting the battleground from store proximity alone to fulfilment flexibility, digital frequency and mission capture. IGD's 2026 analysis argues that the channel is being rebuilt inside existing retail operating models, meaning competitive

advantage now comes from who can serve urgent, top-up and same-day missions at acceptable cost rather than who can promise the shortest headline delivery time.^{10 13}

- Share defence inside online grocery: Tesco explicitly reported that Whoosh contributed about two percentage points of online sales growth in FY2025/26, while Sainsbury's linked Groceries Online growth to the rising contribution from OnDemand. That indicates quick commerce is now a material lever in online share competition, not just a convenience adjunct.^{117 144}
- Mission expansion: The competitive value of quick commerce has broadened beyond emergency baskets. IGD notes larger baskets, same-day fulfilment and more routine usage, which means retailers can use the channel to capture a wider set of shopping occasions and reduce leakage to rivals across the week.^{115 12}
- Loyalty and ecosystem competition: Quick commerce increasingly rewards retailers that can connect rapid delivery to loyalty, pricing and retail media. Sainsbury's Nectar integration with Uber Eats and Tesco's Clubcard-linked personalisation show that the competitive contest is moving toward ecosystem depth, where the order itself matters less than the lifetime value and data generated around it.^{165 303}
- Pressure on mid-tier grocers: Quick commerce raises the strategic bar for retailers without national online scale or strong owned digital ecosystems. They can still participate through aggregators, but platform dependence means weaker margin capture, less customer ownership and lower ability to convert on-demand demand into durable share gains.^{214 210 209}
- Structural implication: Quick commerce is not flattening the market. It is amplifying incumbent advantages in store density, inventory scale, data and fulfilment orchestration, which is why the collapse of Getir and Gorillas strengthened supermarkets rather than opening space for a new independent leader.^{10 1 103}

8.3

Future Trajectories in Market Share

The most likely 2026 to 2031 trajectory is continued concentration of quick-commerce value among incumbent grocers, with Tesco and Sainsbury's best placed to convert channel growth into share resilience or modest share gains. IGD forecasts UK quick commerce will reach £5.5bn by 2031 and 15% of online grocery, implying that the channel will become more important to competitive outcomes even if it remains a minority of total grocery spend.¹⁰

- Tesco outlook: Tesco is best positioned to extend leadership because it combines the largest grocery share with national store density, strong online share and an already scaled Whoosh operation. If Whoosh continues to add frequency and same-day mission capture, Tesco's likely outcome is not dramatic total-share expansion but stronger defence of both grocery and online leadership against discounters and digital specialists.^{16 117}
- Sainsbury's outlook: Sainsbury's has the clearest near-term upside to narrow the digital gap with Tesco because its OnDemand growth rate is higher and its ecosystem integration is deepening. The key question is whether it can translate rapid-delivery momentum into sustained online share gains without diluting margin through partner dependence and promotional intensity.^{144 10}
- Ocado outlook: Ocado is unlikely to gain large total grocery share quickly, but it can improve strategic relevance if profitability and service differentiation continue to strengthen. Its future share path is more likely to be gradual and quality-led, tied to premium online missions and technology-enabled service flexibility rather than rapid-delivery ubiquity.¹⁸⁸

- Aggregator-led players: Co-op, Morrisons and similar retailers should retain a role in local convenience missions, but their future share gains are likely to be constrained unless they improve ownership of customer data, loyalty linkage and economics on partner channels. In effect, they can remain present in quick commerce without becoming the main beneficiaries of its long-term value creation.^{210 209 214}
- Investor implication: Future market-share movement will be driven less by raw delivery speed and more by cost-to-serve discipline, mission breadth and ecosystem monetisation. The structurally advantaged players are those that can make quick commerce improve total customer economics, which currently points to Tesco and Sainsbury's as the strongest share consolidators, with Ocado as a profitable specialist and pure-play dark-store models largely excluded from the next phase.^{10 117 144 188}

9

Consumer Behaviour and Demand Drivers

9

Consumer Behaviour and Demand Drivers

Consumer behaviour in UK quick commerce has shifted from occasional emergency use toward a more routine, mission-based top-up channel, but it has not become a mass daily habit. The strongest demand now comes from younger, urban and more affluent shoppers, while mainstream adoption still depends on proving value on price, quality and basket relevance rather than speed alone.^{12 309 315}

This matters for the post-consolidation market because the surviving operators are serving a clearer set of consumer missions than the 2020 to 2023 dark-store cohort did. Demand is concentrating around food-for-now, top-up and convenience-led replenishment, with some expansion into broader baskets where retailers can combine speed, acceptable pricing and trusted grocery quality.^{315 12}

9.1

Demographic and Usage Patterns

Younger shoppers are the clearest demand engine. IGD states that Gen Z is driving quick-commerce use in the UK, while YouGov's March 2026 survey found slightly higher engagement among 18 to 24 year olds, including 4% reporting daily use, even though daily usage remains niche overall.^{12 309}

Usage frequency is improving, but the channel is still primarily periodic rather than habitual for most users. IGD reports weekly quick-commerce use rising from 27% of users in Q4 2024 to 33% in Q1 2026, while also noting that monthly use remains the most common cadence.¹²

- Age skew: Adoption is strongest among younger adults, especially Gen Z, supporting the view that quick commerce is becoming mainstream first through digitally native cohorts rather than evenly across the population.^{12 309}
- Income skew: IGD says younger and more affluent shoppers are more likely to combine takeaway and grocery items in one order, indicating that higher-income households are currently more willing to pay for convenience and basket expansion.¹²
- Mission profile: YouGov characterises rapid grocery delivery primarily as a convenience-driven top-up channel, and IGD says food-for-now was the main mission for 69% of shoppers in late 2024 research.^{309 315}
- Basket composition: YouGov found fresh food and snacks were each ordered by 47% of users, while 36% ordered household items, showing that the channel is anchored in immediate consumption and urgent replenishment rather than full weekly shops.³⁰⁹
- Cross-channel behaviour: IGD reports that 63% of online shoppers now use multiple online sub-channels, which implies quick commerce is usually one component of a fragmented shopping repertoire rather than a standalone primary grocery mode.¹²

9.2

Key Demand and Trend Drivers

Convenience remains the core demand driver, but the evidence suggests convenience is broader than raw delivery speed. IGD says the main reasons shoppers continue to use quick

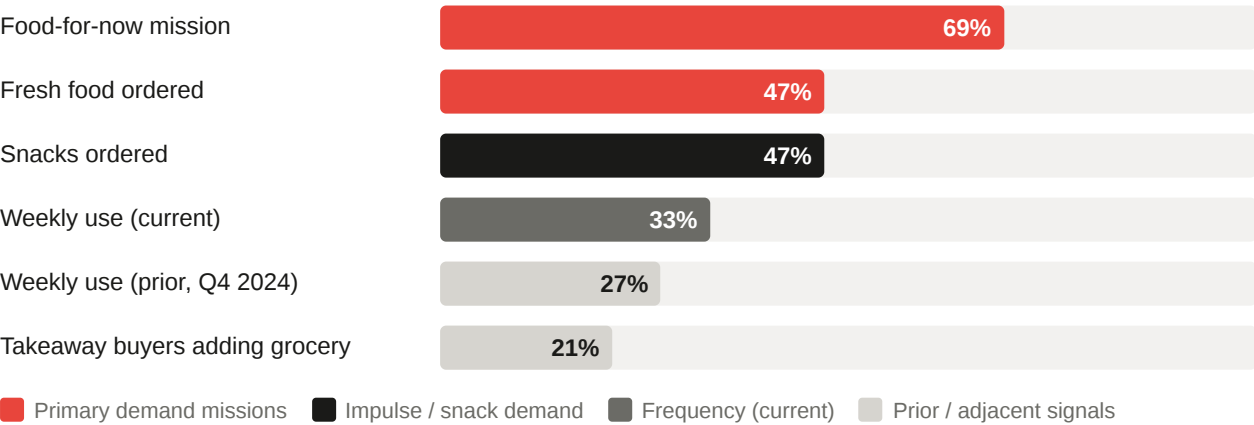
commerce are convenience, speed and ease of use, while YouGov finds the channel still functions mainly as a top-up solution, meaning the value proposition is strongest when it removes friction from immediate-need missions.^{315 309}

Price sensitivity remains a major constraint on broader penetration. IGD states that price and quality are still the two most important factors influencing where shoppers buy online, and YouGov concludes that cost concerns remain a key adoption barrier, which helps explain why the UK market has shifted away from pure speed-first models toward supermarket-backed propositions with stronger value credentials.^{12 309}

Title — UK quick commerce consumer demand signals

DEMAND INDICATOR	VALUE	CONSUMER IMPLICATION
Weekly quick-commerce use	33% of users	Frequency is rising, but not yet dominant.
Prior weekly quick-commerce use	27% of users	Shows habit formation since Q4 2024.
Shoppers using quick commerce for food-for-now mission	69%	Immediate consumption remains the anchor mission.
Takeaway buyers adding grocery items	21%	Basket expansion is possible beyond pure distress use.
Fresh food ordered by users	47%	Demand includes practical grocery replenishment, not only snacks.
Snacks ordered by users	47%	Impulse and immediate-consumption missions remain central.

Source: ^{12 315 309}



- Speed as hygiene factor: Fast delivery still matters, but it is increasingly a threshold expectation rather than a sufficient differentiator on its own. IGD’s framing that price and quality still matter most supports the view that speed alone no longer creates durable demand.¹²
- Ease of use: Frictionless ordering, app familiarity and integration with broader online shopping habits are becoming more important as shoppers fragment missions across multiple sub-

channels.^{307 12}

- Basket growth opportunity: IGD says 21% of shoppers who buy takeaway through quick commerce also add grocery items, showing that operators can improve economics when they convert foodservice-led orders into mixed baskets.¹²
- Consumer patience trade-off: Academic evidence from a 2025 online grocery study suggests that allowing just five extra minutes in delivery time can reduce delivery mileage by about 30%, implying that some consumer demand may be more flexible than early quick-commerce models assumed if value or reliability improves in return. This is not UK-specific, but it is relevant to how operators can reshape demand around efficiency-first service design.²

9.3

Evolving Consumer Preferences

Consumer preferences are moving toward a more nuanced premium-versus-value mix rather than a simple willingness to pay for maximum speed. On one side, affluent urban users still support premium convenience missions and mixed takeaway-grocery baskets; on the other, mainstream shoppers continue to prioritise price and quality, which favours supermarket-led propositions with loyalty pricing and trusted assortments.^{12 315}

This preference shift helps explain why the surviving UK market is bifurcating. Premium niches remain viable in dense affluent catchments, but the larger opportunity is in value-anchored convenience, where shoppers want rapid fulfilment without paying a disproportionate premium versus their normal supermarket shop. That dynamic aligns with the retreat of pure-play dark stores and the rise of Tesco, Sainsbury's and partnership-led supermarket models.^{309 12}

- Premium demand: IGD says mixed takeaway and grocery baskets are most pronounced among younger and more affluent shoppers, indicating a segment willing to pay for immediacy, convenience and broader mission fulfilment.¹²
- Value discipline: IGD explicitly states price and quality remain the most important online purchase factors, which means value perception is central even in a convenience-led channel.¹²
- Assortment expectations: YouGov's category data, with fresh food, snacks and household items all materially represented, suggests shoppers increasingly expect quick commerce to cover practical everyday needs, not just impulse treats.³⁰⁹
- Reliability over extremity: The post-2024 market appears to reward dependable, integrated service more than the shortest headline ETA. This is an inference from the combination of rising routine use, persistent price sensitivity and the success of supermarket-led models rather than a directly stated consumer quote.^{12 307}
- Investor implication: The most scalable demand pool is likely to sit in the middle of the market, where consumers want fast top-up fulfilment, credible pricing and supermarket-grade quality. Premium-only positioning can survive, but it is narrower and geographically concentrated.^{309 315}

Outlook and Strategic Implications

10

Outlook and Strategic Implications

The UK quick-commerce grocery market is moving into a second phase defined by efficiency, integration and selective capital deployment rather than network expansion. The strategic question for 2026 onward is no longer whether demand exists, but which operators can convert that demand into acceptable returns by lowering incremental cost-to-serve, broadening mission mix and retaining control of customer economics across owned and partner channels.^{10 188}

The evidence across Tesco, Sainsbury's and Ocado suggests the market is converging on a small set of structurally defensible models: store-led omnichannel rapid delivery, platform-enabled participation with disciplined economics, and technology-led premium online grocery with flexible fulfilment rather than extreme speed. Future value creation will depend less on headline delivery times and more on route density, inventory accuracy, loyalty-linked retention, and the ability to shift customers toward larger baskets or slightly more patient delivery windows.^{10 2 54}

10.1

Channel Evolution and Efficiency Optimization

The channel is likely to evolve from a pure rapid-delivery format into a tiered convenience architecture spanning urgent top-up, same-day scheduled, and larger-basket missions. That direction is already visible in Tesco's expansion of Whoosh into full-basket and book-for-later same-day options, and in IGD's view that the rebuilt market is being shaped by store-based fulfilment, route optimisation and broader mission capture rather than speed alone.^{283 328 10}

- Service design: The most important efficiency lever is likely to be controlled relaxation of immediacy, where retailers preserve convenience but widen delivery windows enough to improve batching and route density. A 2025 arXiv study found that adding five minutes to delivery time reduced daily mileage by about 30% and life-cycle CO2 emissions by 20%, which supports a strategic shift toward reliability-first rather than fastest-possible fulfilment.²
- Fulfilment structure: Store-led picking should remain the dominant UK model because it uses sunk real estate, shared inventory and existing labour pools. Dedicated dark stores may persist only in narrow high-density or premium catchments, as the 2024 exits of Getir and Gorillas demonstrated the fragility of a parallel national network built around small urgent baskets.^{10 59}
- Operating model: The next optimisation frontier is orchestration across channels rather than within quick commerce alone. Retailers that can dynamically allocate orders between store picking, same-day slots, and partner fleets should lower cost-to-serve more effectively than operators running rapid delivery as a separate silo, an inference supported by multi-depot routing research showing gains from flexible pickup assignment and adaptive routing.^{46 10}
- Inventory discipline: As volumes rise, stock accuracy and perishables management become more strategic than app speed. Grocery inventory research covering about 24,000 SKUs across 11 stores found higher inaccuracy for perishables and frequent restocking environments, implying that rapid-delivery growth without tighter stock controls will leak margin through substitutions, missed sales and waste.⁵⁴

Title — Likely next phase of UK quick commerce

CHANNEL MODEL	LIKELY DIRECTION 2026 ONWARD	STRATEGIC IMPLICATION
Store-led rapid delivery	Expands with larger baskets and same-day slots	Best path to lower incremental cost and defend online share.
Aggregator-enabled grocery	Grows as a variable-cost access channel	Useful for reach, but economics depend on loyalty linkage and fee discipline.
Dedicated dark stores	Retreats to niche dense catchments	Viable only where order density and gross margin are unusually strong.
Automated online grocery	Competes on flexibility and efficiency, not extreme speed	Supports profitable differentiation for specialist operators such as Ocado.

Source: ^{10 283 188 2}

10.2

Structurally Viable Business Models

The most structurally viable model in the UK is supermarket-led omnichannel quick commerce, where rapid delivery is an incremental service layered onto a profitable grocery ecosystem. Tesco and Sainsbury's fit this model because they combine store density, existing replenishment systems, loyalty assets and broad customer relationships, allowing them to absorb quick-commerce costs across a wider revenue base than standalone operators can.¹¹⁷

^{144 10}

- Omnichannel incumbents: This is the strongest long-term model because it monetises the customer across weekly shops, top-up missions, loyalty, retail media and partner channels. The strategic advantage is not just lower fulfilment cost, but higher lifetime value per customer, which makes rapid delivery economically tolerable even if per-order margins remain modest.¹⁴¹
¹¹⁷
- Platform-enabled participation: The second viable model is retailer participation through aggregators, especially for convenience-led or mid-scale grocers that want low-capex exposure. This model is strategically viable only if the retailer can preserve some customer ownership through loyalty, pricing or white-label fulfilment, otherwise too much value migrates to the platform.^{207 214 165}
- Technology-led specialist online grocery: Ocado represents a third viable path, but it is not a pure quick-commerce model. Its H1 2026 adjusted EBT profit of £12m and EBITDA of £73m suggest that a specialist can succeed by using automation, flexible slotting and fulfilment productivity to serve premium full-basket and short-lead-time missions without replicating the dark-store model.^{188 189}
- Premium urban niche: A narrow pure-play model can survive where catchments are affluent, dense and less price-sensitive, as seen in Zapp's retreat to premium London neighbourhoods. However, this is better understood as a niche survival model than a scalable national investment template.^{85 10}

The least viable model remains the standalone mass-market dark-store network. Academic work on dark-store location optimisation shows how tightly such models are constrained by delivery radius and throughput, while UK market outcomes since April and May 2024 show that those constraints were not offset by sufficient basket size, frequency or gross margin.^{1 59 10}

For investors, the practical screen is straightforward: favour models where quick commerce improves total ecosystem economics rather than needing to stand alone as a fully burdened profit pool. On current evidence, Tesco and Sainsbury's are the clearest ecosystem winners, Ocado is the clearest profitable specialist, and aggregator-led participation is viable but structurally subordinate in value capture.^{117 144 188}

10.3

Risks and Opportunities in Quick Commerce

The main opportunity is that quick commerce can become a high-frequency gateway into broader grocery ecosystems rather than a low-margin standalone service. IGD forecasts the UK channel will reach £5.5bn by 2031 and 15% of online grocery, so operators that use rapid delivery to defend share, deepen loyalty and capture more top-up missions should benefit from structurally rising relevance even if the channel remains a minority of total grocery spend.¹⁰

- Opportunity for incumbents: Tesco and Sainsbury's can use quick commerce to increase shopping frequency, reduce mission leakage and strengthen digital share. Their disclosed growth rates, over £400m for Whoosh and over £700m for Sainsbury's OnDemand in FY2025/26, indicate that the channel is already large enough to influence online competitive outcomes.^{117 144}
- Opportunity in data and monetisation: Loyalty-linked quick commerce creates value beyond the order through personalisation and retail media. Sainsbury's Nectar integration with Uber Eats and Tesco's continued personalisation push suggest that the next margin layer may come from better retention and data monetisation, not only from direct delivery profit.^{165 283}
- Opportunity in operational science: Better routing, dispatching and forecasting can still unlock material gains. Research shows benefits from dynamic dispatching, pooled multi-depot routing and improved handling of discounted perishables, implying that execution quality remains a meaningful source of future margin separation between operators.^{321 46 245}

The risk side is equally clear. If retailers chase volume without controlling picking productivity, stock accuracy and delivery density, quick commerce can still destroy value despite strong top-line growth.^{54 10}

- Margin compression risk: Convenience premiums may face resistance if consumers remain price-sensitive, especially outside affluent urban catchments. Which? found in October 2025 that some supermarket groceries on delivery apps cost at least 20% more and some items were priced at double direct supermarket prices, highlighting the risk that demand softens if the premium becomes too visible.²²⁹
- Platform dependence risk: For partnership-led retailers, the danger is that platforms capture traffic, advertising economics and customer attention while the grocer retains low-margin fulfilment work. This creates a structurally weaker position unless retailers can link loyalty, pricing and owned digital surfaces back into the transaction.^{214 210}
- Store execution risk: The store-as-hub model lowers capital intensity but raises in-store complexity. As rapid delivery volumes scale, labour contention, substitution rates and inventory inaccuracies can erode service quality and economics unless retailers invest in process redesign and stock discipline.^{54 117}
- Strategic overreach risk: The biggest historical mistake in UK quick commerce was treating speed as a sufficient business model. The post-2024 market suggests future failures will come

from over-expansion into low-density areas, underpriced delivery promises, or attempts to rebuild standalone dark-store economics at national scale.^{10 1}

The strategic implication is that UK quick commerce should now be treated as an optimisation and ecosystem game, not a land-grab category. The winners are likely to be operators that use the channel to improve total customer economics, while the losers will be those that still require each rapid order to justify a standalone infrastructure stack on its own.^{10 188}

References and Citations

11

References and Citations

This section consolidates the source base used across the report and distinguishes between primary evidence, secondary interpretation, and validation standards. The source mix is intentionally weighted toward company filings, official statistics, and specialist industry research, with academic papers used mainly to support structural and operational analysis rather than market sizing.

11.1

Primary Sources

- Core company disclosures: The report relies first on issuer-published results, annual reports, investor presentations, and transcripts from Tesco, J Sainsbury, Ocado Group, Co-op and Morrisons. These sources provide the most authoritative evidence for reported sales, growth rates, coverage, profitability, partnership scope, and management commentary because they are published by the operating entities themselves.^{117 120 144 324 188 210 209}
- Official market statistics: National grocery share and broader market context are anchored to UK government statistical publications, which in turn reference established consumer panel data. These sources are used where the report needs a neutral benchmark rather than company-reported positioning.¹⁶
- Primary industry research: IGD is treated as a primary market intelligence source for UK quick-commerce channel sizing, growth forecasts, shopper behaviour, and structural interpretation because it publishes original sector research and survey-based findings. This is the foundational source for the report's market forecast, channel evolution, and consumer fragmentation analysis.^{10 12 115}
- Academic and technical evidence: arXiv papers were used selectively to support claims about dark-store constraints, routing efficiency, inventory inaccuracy, and fulfilment economics. These papers are not used for UK market sizing, but they materially strengthen the report's explanation of why certain operating models fail or scale.^{1 46 321 54}

11.2

Secondary Sources

- Industry and channel analysis: Secondary interpretation was drawn mainly from IGD retail analysis pieces that synthesize retailer disclosures, shopper research, and channel trends into a market-level view. These sources were used to connect individual company results to the broader post-consolidation reset in UK quick commerce.^{10 115 346}
- Platform and partnership materials: Deliveroo, Uber-linked retailer announcements, and retailer partnership pages were used as secondary corroboration for aggregator reach, white-label infrastructure, loyalty integration, and merchant economics. These sources are useful for mapping operating relationships, but they were not treated as neutral evidence on profitability or value capture without cross-checking against retailer disclosures or independent analysis.^{214 211 207 165}
- Independent media and specialist commentary: Selected Reuters-linked coverage and specialist grocery trade reporting were used mainly for event chronology, especially the exits of Getir and

Gorillas and the repositioning of surviving operators such as Zapp and Gopuff. These sources were used only where primary company disclosure was unavailable or incomplete, and were cross-checked against multiple reports before inclusion.^{59 68}

- Consumer and pricing context: Independent survey and consumer advocacy sources were used to supplement retailer and IGD evidence on adoption barriers, usage patterns, and app pricing premiums. These sources add useful external perspective, but their findings were treated as directional unless supported by broader market evidence.^{309 229}

11.3

Data Reliability and Sources Validation

- Source hierarchy applied: Highest weight was given to audited or issuer-controlled disclosures, official government statistics, and original IGD research. Secondary media, trade press, and platform marketing materials were used only to fill gaps, establish chronology, or triangulate claims that were not fully disclosed elsewhere.^{117 144 188 16}
- Validation method: Material figures were cross-checked wherever possible across at least two source types, typically company disclosure plus IGD or official statistics. This was especially important for quick-commerce sales figures, market share references, coverage claims, and the interpretation of profitability, where direct segment disclosure is often incomplete.^{10 120 324}
- Known limitations: Several important metrics in UK quick commerce remain partially opaque. Tesco does not separately disclose Whoosh operating profit, Sainsbury reports OnDemand rather than a pure Chop Chop figure, and some market sizing datapoints such as annual on-demand order counts appear in secondary industry material rather than directly accessible underlying datasets, so those figures should be treated as informed estimates rather than audited facts.^{117 144 10}
- Analytical integrity: Academic papers were used to validate operational logic, not to overstate UK-specific market facts. Where the report inferred structural conclusions, such as the superiority of store-based fulfilment or the margin pressure in aggregator models, those inferences were grounded in a combination of company disclosures, industry research, and peer-reviewed or preprint operational studies rather than any single source.^{1 46 54 115}
- Overall assessment: The report's evidence base is strong for market structure, retailer strategy, disclosed growth, and broad profitability direction, but weaker for exact per-order economics and fully segmented quick-commerce margins. Investors should therefore place highest confidence in the directional conclusions about structural viability and relative positioning, and lower confidence in any implied precision around undisclosed unit economics.



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